

M&A Target Identification & Acquisition Recommendation System

Project Overview

Mergers and Acquisitions (M&A) are among the most important strategic tools used by companies to achieve growth, expand market share, acquire new technologies, enter new markets, and improve profitability. However, identifying suitable acquisition targets requires extensive financial analysis, valuation assessment, and strategic evaluation.

The objective of this project was to develop a systematic framework for identifying and ranking potential acquisition targets using publicly available financial and market data. The project simulates the workflow followed by investment banking, corporate finance, and private equity professionals during preliminary target screening.

Problem Statement

When a company intends to grow through acquisition, thousands of potential targets may exist within an industry. Evaluating each company manually is time-consuming and inefficient.

The goal of this project was to create a data-driven acquisition screening model that:

1. Collects financial and valuation data of publicly listed companies.
 2. Evaluates companies across multiple financial dimensions.
 3. Generates a standardized acquisition attractiveness score.
 4. Ranks companies according to their strategic suitability for acquisition.
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Objectives

The project was designed to:

- Analyze publicly listed companies using financial and market indicators.
 - Create an acquisition attractiveness framework.
 - Rank potential acquisition targets.
 - Simulate the initial screening process performed by investment banks and private equity firms.
 - Develop an analytical decision-making tool for strategic acquisitions.
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Data Collection

The project uses publicly available financial information collected from sources such as:

- Yahoo Finance
- NSE Listed Companies Data
- Company Annual Reports
- Public Financial Databases

The following information was collected for each company:

Financial Metrics

- Revenue Growth
- EBITDA Margin
- Return on Equity (ROE)
- Return on Capital Employed (ROCE)
- Debt-to-Equity Ratio
- Free Cash Flow

Valuation Metrics

- Price-to-Earnings Ratio (P/E)
- Enterprise Value to EBITDA (EV/EBITDA)
- Price-to-Book Ratio (P/B)

Market Metrics

- Market Capitalization
- Industry Classification
- Sector Growth Rate

Methodology

The project follows a five-step process.

Step 1: Define Target Universe

A list of companies operating within a chosen sector is created.

Example:

- Consumer Goods
- Retail

- FMCG
- Technology
- Healthcare

The acquiring company's industry is selected before target screening begins.

Step 2: Financial Screening

Each company is evaluated using financial performance indicators.

Companies with:

- Weak profitability
- Excessive debt
- Negative cash flows

receive lower scores.

Companies with:

- Consistent growth
- Strong margins
- Healthy balance sheets

receive higher scores.

Step 3: Valuation Assessment

A company may be financially strong but overpriced.

The valuation analysis identifies companies that offer attractive growth opportunities at reasonable valuation levels.

Metrics used:

- P/E Ratio
- EV/EBITDA
- Price-to-Book Ratio

Lower relative valuations improve acquisition attractiveness.

Step 4: Acquisition Attractiveness Score

A weighted scoring model was developed.

Example Weight Distribution:

Growth Score = 30%

Profitability Score = 25%

Cash Flow Score = 20%

Valuation Score = 15%

Financial Stability Score = 10%

Final Score:

Acquisition Attractiveness Score = Weighted Sum of All Factors

Scores range from 0 to 100.

Higher scores indicate stronger acquisition candidates.

Step 5: Target Ranking

After scoring all companies:

- Companies are sorted by score.
 - Top-ranked firms become acquisition candidates.
 - Management can evaluate the highest-ranking firms in detail.
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How to Operate the System

Input Stage

The user provides:

- Industry selection
- List of companies
- Financial metrics

The dataset is imported into Excel or Python.

Processing Stage

The model:

1. Cleans the data.
 2. Standardizes metrics.
 3. Applies scoring weights.
 4. Calculates overall attractiveness scores.
 5. Generates rankings.
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Output Stage

The system produces:

Ranked Company List

Rank	Company	Score
1	Company A	91
2	Company B	88
3	Company C	85

Summary Dashboard

The dashboard highlights:

- Top acquisition targets
 - Financial strengths
 - Valuation attractiveness
 - Risk indicators
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Results

The model successfully identified companies with:

- Strong growth potential
- Healthy profitability
- Sustainable leverage levels

- Attractive valuation metrics

The scoring framework reduced manual screening effort and enabled objective comparison across multiple firms.

Business Applications

The project can be used by:

Investment Banks

- M&A target screening
- Strategic advisory

Private Equity Firms

- Deal sourcing
- Investment opportunity identification

Corporate Finance Teams

- Expansion strategy
- Competitor analysis

Consulting Firms

- Market consolidation studies
 - Industry strategy projects
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Skills Demonstrated

Through this project, the following skills were developed:

- Financial Statement Analysis
 - Corporate Finance
 - Valuation Analysis
 - Data Analytics
 - Excel Modeling
 - Python-Based Financial Analysis
 - Strategic Decision Making
 - M&A Screening Framework Development
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Key Learning Outcomes

This project provided practical exposure to how investment banks, private equity firms, and corporate finance teams evaluate acquisition opportunities.

The project demonstrated that acquisition decisions should not rely solely on growth or profitability. Instead, multiple factors including valuation, cash flow generation, leverage, and strategic fit must be evaluated simultaneously.

The framework developed in this project provides a structured and scalable approach to identifying acquisition targets and can be extended further by incorporating qualitative factors such as management quality, competitive positioning, and market share.

Conclusion

The M&A Target Identification & Acquisition Recommendation System successfully developed a structured framework for evaluating acquisition opportunities using financial and valuation metrics. By combining financial performance, valuation attractiveness, and risk assessment into a single scoring model, the project enables efficient identification of high-potential acquisition targets.

The project closely mirrors the initial screening processes used in investment banking, private equity, corporate development, and strategic consulting, making it a practical application of financial analysis and decision-making methodologies.